Supreme Court, U.S.
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No. _____

IN THE

SUPREME COURT OF THE UNITED STATES

October Term, 1998

ROBERT E. GABLE, - - - - - - *Petitioner*

versus

PAUL E. PATTON; A.B. CHANDLER, III; KENTUCKY REGISTRY OF ELECTION FINANCE; DONALD L. COX; MORRIS E. BURTON; JAMES E. BOYD; and JOHN Y. BROWN, III,
- - - - - - - - - - - - - - *Respondents*

PETITION FOR A WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SIXTH CIRCUIT

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November 25, 1998

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7 OPP

QUESTIONS PRESENTED

1. Does a public campaign funding scheme unconstitutionally penalize a nonparticipating candidate's rights of free speech and association if, upon that candidate's collection or expenditure of a specified amount of private campaign funds, the State releases participating candidates from otherwise applicable contribution and expenditure limits and matches their further fundraising efforts two-to-one with public funds ?

2. Does a total ban on outside contributions to an unsubsidized candidate's campaign during the twenty-eight days preceding an election violate that candidate's rights of free speech and association?

PARTIES

The petitioner in this Court is Robert E. Gable, who was the plaintiff-appellant/cross-appellee below. The respondents in this Court, who were the defendants-appellees/cross-appellants below, are Paul E. Patton, in his official capacity as Governor of the Commonwealth of Kentucky; A. B. Chandler, III, in his official capacity as Attorney General of the Commonwealth of Kentucky; the Kentucky Registry of Election Finance; Donald L. Cox, in his official capacity as Chair of the Kentucky Registry of Election Finance; Morris E. Burton, in his official capacity as Franklin County Commonwealth Attorney; James E. Boyd, in his official capacity as Franklin County Attorney; and John Y. Brown, III, in his official capacity as Secretary of State for the Commonwealth of Kentucky.

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PETITION FOR A WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SIXTH CIRCUIT

OPINIONS BELOW

The opinion of the court of appeals (Pet. App. 1a-27a), is reported as *Gable v. Patton*, 142 F.3d 940 (6th Cir.1998). The unreported decision of the district court (Pet. App. 28a-46a) is *Gable v. Jones*, Civil No. 95-12 (E.D. Ky., Mar. 29, 1996).

JURISDICTION

The judgment of the court of appeals was entered on April 30, 1998. Both sides' petitions for rehearing were denied on July 28, 1998. On October 22, 1998, the Honorable John Paul Stevens, Circuit Justice for the Sixth Circuit, granted petitioner's application for an extension of time, through November 25, 1998, to file this petition for a writ of certiorari. The jurisdiction of this Court to review this petition for a writ of certiorari is invoked under 28 U.S.C. § 1254(1).

CONSTITUTIONAL PROVISIONS AND STATUTES INVOLVED

The United States Constitution, Amendment I, in relevant part provides: "Congress shall make no law . . . abridging the freedom of speech, or of the press. . . ."

Kentucky Revised Statute § 121A.030, entitled "Campaign expenditure limitations," provides in relevant part:

> (1) A qualifying slate of candidates for Governor and Lieutenant Governor that receives transfers from the [public campaign finance] fund may make campaign expenditures which, in the aggregate, including the expenditure of transfers from the fund, shall not exceed one million eight hundred thousand dollars ($1,800,000) in connection with a primary election campaign and one million eight hundred thousand dollars ($1,800,000) in connection with a regular election campaign, subject to the provisions of KRS 121A.080(4) and (5), and three hundred thousand dollars ($300,000) in connection with a runoff primary campaign. . . .
>
> (5) No slate of candidates for Governor and Lieutenant Governor shall knowingly accept any other campaign contribution during the twenty-eight (28) days immediately preceding a primary or regular election and during the fourteen (14) days immediately preceding a runoff primary except:
>
> (a) A qualifying slate of candidates that has elected to become eligible for fund transfers or who may in the future elect to become eligible for fund transfers shall be released from expenditure limitations following a certification by the registry pursuant to KRS 121A.080(4)

> or (5) that a slate of candidates that has not elected to become eligible for fund transfers has received contributions or made expenditures in excess of the expenditure limits provided in subsection (1) of this section; . . . .

Kentucky Revised Statute § 121A.080, entitled "Amounts transferred from fund," provides in relevant part:

> (1) . . . . Qualifying slates of candidates may receive transfers from the fund according to the matching ratio . . . specified in KRS 121A.060(3)(c) . . . .Subject to subsections (4) and (5) of this section, a transfer entitlement voucher may document total qualifying contributions of not less than $300,000 but not more than $600,000 for a primary or regular election for receipt of total fund transfers equal to twice the amount of qualifying contributions documented . . . .
>
> (4)(a) If the registry makes a finding of fact, after a public hearing of which all slates of candidates for Governor and Lieutenant Governor shall be notified, that in the course of a primary election, runoff primary election, or regular election campaign a slate of candidates for Governor and Lieutenant Governor that has not accepted the provisions of this chapter has received contributions or made expenditures in excess of the expenditure limit as provided in KRS 121A.030(1), the registry shall certify that those slates of candidates that have elected to become eligible for fund transfers . . . shall be released from expenditure limitations and may receive and sub-

> mit for fund transfers qualifying contributions in excess of $600,000. Slates of candidates released from expenditure limitations in a primary or regular election shall continue to be eligible to receive transfers from the fund. . . .
>
> (5) Nothing in this section shall prevent any slate of candidates from notifying the registry in writing that its campaign committee has received contributions or made expenditures in excess of the expenditure limitations as provided in KRS 121A.030(1). . . .

Kentucky Revised Statute § 121A.060, entitled "Certification of qualification to receive transfer from fund," provides in relevant part:

> (3) The registry shall immediately review the request of a slate of candidates for certification to receive a transfer from the fund. The request for certification shall include:. . . .
>
> (c) The financial reports filed by or on behalf of the slate of candidates as of the date of the request for certification which indicate that the slate of candidates has raised a threshold qualifying amount in individual qualifying contributions for a transfer from the fund at a two (2) for one (1) matching ratio; . . . .

STATEMENT OF THE CASE

This case involves a First Amendment challenge to several provisions of Kentucky's public funding scheme for statewide elections. Under laws first implemented in its 1995 gubernatorial election, Kentucky provides two-for-one public matching funds to any gubernatorial slate in a contested election that agrees to limit private contributions to

$600,000 in each election, primary and general, and thus to limit its total expenditures in each election to $1.8 million — the sum of the $600,000 maximum in private funds and $1.2 million in public matching funds. *See* Kentucky Revised Statutes ("KRS") §§ 121A.060(1), 121A.060(3)(c), 121A.030(1). The "28-day window" provision, KRS § 121A.030(5), bars both participating and nonparticipating slates from accepting campaign contributions during the twenty-eight days immediately preceding a primary or general election campaign. But under KRS § 121A.030(5)(a), the "trigger" provision, if an opposing slate that has declined to participate in the public subsidy scheme exceeds $1.8 million in private contributions or expenditures, a publicly funded slate is released from the $1.8 million expenditure limit and from the contribution ban, and is guaranteed from the public fisc two dollars for every one private dollar it raises.

Petitioner Robert E. Gable ("Gable") was a candidate for governor in Kentucky's 1995 Republican primary, and has expressed his interest in running for that office again. Gable chose not to participate in the Kentucky public funding scheme and not to receive public campaign funds. In a complaint filed in the United States District Court for the Eastern District of Kentucky during the 1995 primary campaign, he challenged as facially unconstitutional several provisions of Kentucky campaign finance law. Gable named as defendants various state and local officials and the agency responsible for enforcing the campaign finance laws (collectively "the State"). The parties resolved some issues, but ultimately presented five issues to the district court on cross-motions for summary judgment. On March 29, 1996, the district court, which had jurisdiction under 28 U.S.C. §§ 1331 and 1343, entered a final judgment granting summary judgment to Gable on one issue and to the State on all others. Both sides appealed. The United States Court of Appeals for the Sixth Circuit affirmed the district court's judgment in its entirety on April 30, 1998. *Gable v. Patton*, 142 F.3d 940

(6th Cir. 1998) (Pet. App. 1a-27a). The court of appeals denied rehearing and rehearing *en banc* on July 28, 1998.

The court of appeals found that the "trigger" provision did not penalize a nonparticipating candidate's right to make political expenditures free of a government-imposed ceiling. The court conceded that benefits provided to participating candidates can become unconstitutionally coercive if they are sufficiently overwhelming. It conceded too that "the Trigger is certainly more coercive than the federal campaign finance scheme for presidential elections" upheld by this Court in *Buckley*, Pet. App. 14a, and that "participation will be the rational choice in the large majority of cases," Pet. App. 15a. But it held nonetheless that the trigger did not go "over the line of unconstitutional coercion." Pet. App. 15a.

The court of appeals likewise upheld the ban on outside contributions during the last four weeks of an election campaign, *see* Pet. App.17a-19a, although it invalidated the ban as applied to candidates' contributions to their own campaigns, *see* Pet. App. 19a-24a. The court conceded that forcing candidates to calculate and meet their fundraising needs for the remainder of the campaign a full month before an election "is not a trivial restriction," but nonetheless concluded that "such a restriction is justified by Kentucky's interest in combating corruption." Pet. App. 18a-19a.

REASONS FOR GRANTING THE WRIT

Introduction

This case raises issues of serious national importance that were not resolved by this Court's decision in *Buckley v. Valeo*, 424 US. 1 (1976). Unable since *Buckley* to enact political expenditure limits directly, a growing number of states are adopting novel schemes designed to inhibit political expenditures indirectly. Some, like Kentucky, give participating candidates favorable public subsidies when their nonparticipating opponents raise or spend

campaign funds above a set amount. *See, e.g.*, The Maine Clean Election Act, 21 A.M..R.S. § 1125 (9). Indeed, two states just enacted such measures as ballot propositions in the last election. *See* Arizona Citizens Clean Elections Act, 1998 Ballot Proposition 200; Massachusetts Clean Election Law, 1998 Ballot Measure 2, Mass. Gen. Laws, ch. 55A §11. Others simply release participating candidates from otherwise applicable expenditure or contribution limits once a nonparticipating candidate exceeds a state-approved level of fundraising or spending. *See, e.g.*, Cal. Gov. Code § 85404; Colo. Rev. Stat. Ann. § 1-45-105; Mich. C.L.A. 169.269(8); Minn. Stat. § 10A.25 sub. 10 (a); R.I. Gen. Laws § 17-25-24. Advocates of campaign finance reform are actively seeking to promote similar efforts in other states. *See* Cary Goldberg, *2 States Consider Boldly Revamping Campaign Finance*, N.Y. Times, Oct. 19, 1998, at p.A1.

Whether such measures unconstitutionally penalize nonparticipating candidates' rights to spend political money free of government-imposed limits is an issue requiring this Court's urgent resolution. If this Court does not clarify the application of *Buckley* to such measures, one way or the other, they will be subject to multiple, disruptive lawsuits over the next electoral cycle. Uncertainty about the constitutionality of such measures will disturb the orderly process of electoral decisionmaking and might even cast into doubt the outcome of some future elections. The writ should be granted so that such disruption may be avoided and the first issue presented in this case resolved as soon as possible.

The writ should also be granted to resolve the second issue in this case: whether Kentucky's extraordinary ban on campaign contributions during the last month of an election conflicts with *Buckley* or other relevant precedents of this Court.

1. Whether the "trigger" provision unconstitutionally penalizes a nonparticipating candidate's exercise of the right to raise and spend political funds is a question of serious national importance warranting this Court's review.

Buckley v. Valeo, 424 U.S. 1 (1976), held that political expenditures implicate fundamental liberties of speech and association, and that government may not directly limit expenditures of private funds. *Id.* at 54. At the same time, *Buckley* upheld the provision of public subsidies to presidential campaigns on condition that participating candidates limit their campaign expenditures to a fixed amount. *Id.* at 56 n.75. But the presidential campaign funding provisions upheld in *Buckley* placed no limits on the amounts that nonparticipating candidates might raise or spend, nor did they contain any bonuses for participating candidates that might be triggered by nonparticipating candidates' behavior.

Kentucky, in contrast, does not seek merely to lure gubernatorial candidates with the carrot of public subsidies, but also threatens nonparticipating candidates with a substantial stick. If a nonparticipating candidate collects or spends funds above the $1.8 million ceiling to which participating candidates have agreed, the state will permit participating candidates to raise and spend funds in unlimited amounts, matching each private dollar raised with two dollars of public money. This public bounty will flow to the participating candidate no matter how much the nonparticipating candidate's fundraising prowess is due to the popularity of his ideas, and no matter how much the two-for-one matching ratio will distort the apparent popularity of the participating candidate. A candidate who seeks to walk away from the public campaign finance program in order to preserve his right to make unlimited campaign expenditures simply cannot do so. Rather, he is told that if he is too successful at fundraising, the state will respond by furnishing his opponent with twice as much money as that opponent is capable of raising on his own.

Nonparticipating candidates can avoid this potentially overwhelming response only by refraining from raising and spending more than $1.8 million in the first place. The trigger thus puts the nonparticipating candidate to a Hobson's choice: either don't amass or expend funds at levels to which you are constitutionally entitled, or do so on pain of Kentucky's publicly-financed retaliation on your opponent's behalf. Such a choice is "no choice at all." *New York v. United States*, 505 U.S. 144, 176 (1992).

The issue whether such a penalty conflicts with *Buckley* and other well-settled First Amendment law warrants this Court's review. It is well-settled that protected speech may not be made an automatic trigger for responsive hostile speech. *See, e.g., Miami Herald Pub. Co. v. Tornillo*, 418 U.S. 241, 257 (1974) (invalidating right-of-reply statute as "exact[ing] a penalty" upon a newspaper's controversial speech); *Pacific Gas & Electric Co. v. Public Util. Comm'n*, 475 U.S. 1, 9 (1986) (invalidating a compelled access requirement that "both penalizes the expression of particular points of view and forces speakers to alter their speech to conform with an agenda they do not set"). And it is well-settled since *Buckley* that political expenditures are at the core of protected speech. *See, e.g., Colorado Republican Federal Campaign Comm. v. FEC*, 518 U.S. 604 (1996). Thus, it would seem apparent, contrary to the holding of the court below, that a candidate's success at raising a large number of perfectly legal private political contributions likewise may not be made a trigger for a massive state-financed counterattack.

The court of appeals erred in suggesting that this penalty on private fundraising somehow dissipates because it is part of a public subsidy scheme, which by definition "must rely on incentives for participation." Pet. App. 15a. That suggestion misapprehends this Court's precedents. It is well-established that government need not subsidize the exercise of constitutional rights and may use its power of the purse to make some constitutional choices more attractive than others. But government plainly may not penalize the privately funded exercise of a constitutional

right or use selective subsidies to coerce a potential recipient into surrendering such a right.[1]

In order to avoid such impermissible penalty or coercion, conditions on a government subsidy scheme must leave a potential recipient who foregoes the subsidy no worse off with respect to constitutionally protected choices than he or she would have been had the funding program not existed. *See, e.g., Maher v. Roe,* 432 U.S. 464, 474 (1977) (upholding selective subsidy of childbirth but not abortion, reasoning that "[t]he State may have made childbirth a more attractive alternative, thereby influencing the woman's decision, but it has imposed no restriction on access to abortions that was not already there"); *Harris v. McRae,* 448 U.S. 297, 317 (1980) (upholding similar federal law, reasoning that it "leaves an indigent woman with at least the same range of choice in deciding whether to obtain a medically necessary abortion as she would have had if Congress had chosen to subsidize no health care costs at all"). Public funding conditions that would not be permissible if imposed directly — as Kentucky's $1.8 million political expenditure limit plainly would not be under *Buckley* — are constitutional only if they leave potential recipients the unfettered choice to avoid the condition by foregoing the subsidy. *See, e.g., Rust v. Sullivan,* 500 U.S.

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[1] *Compare, e.g., O'Hare Truck Service, Inc. v. City of Northlake,* 518 U.S. 712 (1996) (impermissible penalty on speech and association of public contractor); *United States v. National Treasury Employees Union,* 513 U.S. 454 (1995) (impermissible penalty on government employees' off-duty expressive activities); *FCC v. League of Women Voters,* 468 U.S. 364 (1984) (impermissible penalty on public broadcasters' editorial expression); *Speiser v. Randall,* 357 U.S. 513 (1958) (impermissible penalty on speech and association of veteran tax beneficiary) *with Rust v. Sullivan,* 500 U.S. 173, (1991) (permissible nonsubsidy of abortion counseling and advocacy); *Regan v. Taxation With Representation,* 461 U.S. 540 (1983) (permissible nonsubsidy of charitable organizations' lobbying activity); *Maher v. Roe,* 432 U.S. 464 (1977) (permissible nonsubsidy of abortion).

173, 199 n.5 (1991) (upholding condition that federal family planning funds not be used to counsel or advocate abortion, reasoning that potential grant recipients "can choose between accepting [the] funds — subject to the Government's conditions. . . — or declining the subsidy and financing their own unsubsidized program").

In sharp conflict with this line of precedent, the Kentucky trigger provision both fetters the constitutionally protected choices of candidates who forego public campaign subsidies and leaves such candidates worse off than they would have been without any public financing program at all. Without the program, such a candidate may raise and spend as many legal private contributions as he or she wishes; with it, such fundraising success is threatened or hammered with a state-financed counterattack funded out of all proportion to the actual popularity of the opponent's ideas. Such a penalty is no more permissible in the public campaign funding context than in the context of any other public subsidy. *See Rosentiel v. Rodriguez*, 101 F.3d 1544, 1560 (8th Cir. 1996) (Lay, J., dissenting) (noting that the key issue in reviewing a public campaign subsidy is "whether a candidate who faces a choice not to limit her full access to political speech will be any worse off in choosing to do so").

The trigger warrants strict First Amendment scrutiny regardless of whether it serves as a deterrent to or penalty on the exercise of the right established under *Buckley* to raise and spend private political money without a government-imposed ceiling. The trigger in most cases will have the intended and predictable effect of discouraging gubernatorial campaigns from spending above $1.8 million, or of inducing candidates simply to accept the public funds with strings attached. As the court of appeals accurately observed, "there is only a narrow set of circumstances under which a candidate could make a financially rational decision not to participate. That situation is where the nonparticipating candidate intends to exceed the $1.8 million threshold and believes he will raise more than three

times the funds his participating opponents can raise." Pet. App. 14a. For this reason alone, the court below erred in declining to find the trigger provision unconstitutionally coercive. *See, e.g., VoteChoice, Inc. v. DiStefano*, 4 F.3d 26, 38 (1st Cir. 1993) ("There is a point at which [public financing] incentives stray beyond the pale, creating disparities so profound that they become impermissibly coercive.").

But contrary to the court of appeals' suggestion, the trigger's constitutional infirmity would remain even if some candidates chose, despite its draconian consequences, to exercise their right to pursue private rather than public campaign funding. *Cf. Memorial Hospital v. Maricopa Co.*, 415 U.S. 250, 258 (1974) (applying strict scrutiny to durational residence scheme that "'operates to *penalize* those persons . . . who have exercised their constitutional right of interstate migration,'" even if actual deterrence of interstate migration was not shown) (citation omitted) (emphasis and ellipsis in original). In short, the flaw in the Kentucky trigger provision is that it makes extra public financing of participating campaigns contingent upon the nonparticipating candidate's exercise of constitutionally protected rights of speech and association in the first place. Government may not use the exercise of First Amendment rights as a predicate for systematic government-funded opposition. Whether or not its target capitulates, his or her rights have been seriously burdened.

Under the strict scrutiny that therefore should apply, the trigger provision cannot stand. It may not be justified by a state interest "in equalizing the relative ability of individuals and groups to influence the outcome of elections," for this Court held in *Buckley* that such an interest "is wholly foreign to the First Amendment." 424 U.S. at 45. Such an interest, illegitimate in the regulatory context, does not become permissible in the context of a selective subsidy scheme — at least not one that effectively restricts the speech of nonparticipating candidates in order to enhance the speech of participating candidates.

To the contrary, *Buckley* upheld public financing of presidential campaigns on the basis that it "facilitate[d] and enlarge[d] public discussion and participation in the electoral process" *without* abridging discussion or participation by any candidate declining public funds. *Id.* at 92-93. Nor can the trigger be justified by an interest in reducing the escalating cost of political campaigns, for this Court held in *Buckley* that "the First Amendment denies government the power to determine that spending to promote one's political views is wasteful, excessive, or unwise." *Id.* at 57.

Buckley did hold legitimate and substantial the government interest in combating the corrupting or apparently corrupting influence of large contributions on political candidates, but the trigger bears no relation, much less a close relation, to such an interest. As this Court held in *Buckley*, such an interest is fully served by "contributions limitations and disclosure provisions," and is insufficient to justify further restrictions "on the quantity of political expression." *Id.* at 55. Like the federal law at issue in *Buckley*, Kentucky's campaign statutes restrict the amounts of contributions and require their disclosure. *See* KRS §§ 121A.050, 121A.010(10). Thus, here, as in *Buckley*, the trigger is superfluous to any anti-corruption goal. Indeed, the trigger actually undermines any supposed goal of discouraging candidate dependence upon private donors, as its immediate effect is to send publicly financed candidates back into the fray of private fundraising during the last four weeks of a campaign.

It is no answer to suggest that Kentucky's goal is simply to encourage candidates to join the public subsidy program. For whether this is a permissible goal depends on *why* such participation is being encouraged. If the answer to that question is equalization of relative speaking power or reduction in campaign costs, then the goal is foreclosed by *Buckley*. If the answer is reduction of candidate dependence on private donors, then that goal is fully met by limitations on contribution amounts and full disclo-

sure rather than by a cap on aggregate levels of spending. In any event, Kentucky has available an obviously less restrictive alternative for encouraging participation in its public funding scheme: it may simply raise or eliminate spending limits on publicly funded candidates. This would also be a different case if the trigger lifted spending limits on participating candidates without awarding them additional public financial support.

For these reasons, this Court should grant review of and hold invalid Kentucky's trigger provision. While government is free to decline to finance a candidate who does not accept government spending ceilings, it is not free under the First Amendment to inundate that candidate with government-financed opposition or to give his opponent preferential fundraising opportunities the moment he raises or spends a dollar over that amount.[2]

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[2] The court of appeals found that the trigger provision lifts the 28-day window "for all slates," but this interpretation is inconsistent with the plain text of KRS § 121A.030(5)(a), which provides an exception to the pre-election contribution ban only for "[a] qualifying slate of candidates that has elected to become eligible for fund transfers." If the trigger were read to permit participating but not nonparticipating candidates to accept contributions during the last four weeks of an election, then such discrimination would furnish an independent issue warranting this Court's review. A number of states have sought to use differential contribution limits to induce participation in "voluntary" expenditure limits, and there already exists a conflict among the lower federal courts on whether such a practice is constitutional. *Compare VoteChoice, Inc. v. DiStefano*, 4 F.3d 26 (1st Cir. 1993) (upholding against First Amendment challenge a "cap gap" that permitted participants in a state campaign finance program to accept contributions higher in amount than nonparticipants could accept) *with California Prolife Council Political Action Committee v. Scully*, 989 F. Supp. 1282 (E.D. Cal. 1998) (invalidating similar variable contribution limits on the ground that, if the higher limit for participating candidates suffices to combat corruption, then "the lower limit is not closely drawn," *id.* at 1296).

2. Whether a ban on outside contributions during the final four weeks of a political campaign conflicts with *Buckley* is an important question warranting this Court's review.

Banning political speech in the weeks immediately preceding an election is a little like banning cheering the closer the team gets to the goal; it would seem to miss the very point of the enterprise. Indeed, it would seem perverse from the standpoint of robust democratic discussion and debate to limit political speech at the very moment — the eve of an election — when the public is most likely to be politically alert, energized, and engaged.

This Court has recognized as much in cases such as *Anderson v. Celebrezze*, 460 U.S. 780 (1983), which invalidated an early filing deadline for independent candidates as an excessive restriction on access to the ballot. Similarly, in *Dunn v. Blumstein*, 405 U.S. 330 (1972), the Court invalidated a durational residency requirement for voting, noting that voters are likeliest to inform themselves about an election during the period immediately preceding it: "Given modern communication, and given the clear indication that campaign spending and voter education occur largely during the month before an election, the State cannot seriously maintain that it is 'necessary' to reside for a year in the state and three months in the county in order to be knowledgeable about congressional, state, or even purely local elections." *Id.* at 358. *See also Harman v. Forssenius*, 380 U.S. 528, 539 (1965) (noting that one objection to poll taxes was that they "usually had to be paid long before the election — at a time when political campaigns were still quiescent," penalizing those "voters who did not plan so far ahead"); *Mills v. Alabama*, 384 U.S. 214 (1966) (invalidating a prohibition on newspaper publication of editorials on election day urging people to vote in a particular way).

Nonetheless, Kentucky asserts that it must ban all outside contributions to gubernatorial candidates in the

twenty-eight days immediately preceding the election in order to tally whether a privately funded candidate has exceeded the trigger amount, and if so, to give participating candidates enough time to deploy a state-financed response. For this reason, the court of appeals found the window an "important part" of Kentucky's overall scheme "to limit the actuality and appearance of corruption." Pet. App. 18a. This conclusion was in error, and poses a conflict with *Buckley v. Valeo* that warrants this Court's review.

There can be little doubt that the window would be unconstitutional under *Buckley* if it were not ancillary to the trigger. To be sure, as the court of appeals noted, "the right of candidates to receive contributions" did not emerge "unfettered from the *Buckley* decision." Pet. App. 18a. But the contribution limit upheld in *Buckley* was a limitation on the amount, not the timing, of campaign contributions. The Court reasoned that a regulation forcing candidates to seek out a greater number of small donors would not necessarily limit the quantity of political speech, and that even if it did so, it was justified by the reduction in candidate dependence or apparent dependence on the political will of a few large donors. *See* 424 U.S. at 21-22, 26.

A restriction on the timing of contributions, in contrast, is both more restrictive of speech and association rights and less relevant to preventing corruption. A ban on contributions for the last month of an election does not merely channel the same quantity of speech into a different form, as this Court found in *Buckley* that contribution amount limitations do. Rather, a ban on contributions in the four weeks preceding an election limits the overall quantity of a candidate's speech, because it irrevocably forecloses him from obtaining contributions driven by late-breaking events and rising voter consciousness — for example, those contributions that would have been forthcoming only in response to an opponent's mounting negative attacks. Far from being a mere "time" restriction warranting deferential review, the contribution ban

"impose[s] direct quantity restrictions on political communication and association" and so warrants strictest scrutiny under *Buckley*. *Id.* at 18.

Even if the court of appeals were correct that a temporary contribution ban is no more restrictive than limitations on contribution amounts, some form of heightened scrutiny would apply nonetheless under *Buckley*, and Kentucky's month-long contribution cannot be justified under any standard of heightened review. The timing of a contribution, unlike the amount, bears no necessary or even probable relationship to the danger that the candidate will later act with undue favoritism toward a donor. Indeed, a candidate might well be more grateful to those who bankroll his campaign early than those who join in later. Kentucky might well assert that the danger of dependence on political contributions escalates in the desperate last days of a campaign, but it has adduced no empirical support for this proposition. In any event, such a theory is belied by the fact that the trigger provision allows publicly funded candidates to resume private contributions during that very time period. If private donations that are already limited in amount are not corrupting when the trigger is activated, it is difficult to see why they would be corrupting when it is not.[3]

Thus, Kentucky can defend the window only as an adjunct to the trigger, an argument that necessarily fails if the trigger itself is unconstitutional, as argued above. Because the trigger's penalty on nonparticipating candidates cannot be justified on the equalization or cost-containment grounds that *Buckley* foreclosed, and because that penalty bears no close relation to avoiding candidate corruption, the trigger must fall, and with it, the 28-day window.

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[3] If the trigger is read to permit only participating candidates to resume contributions during the final four weeks, then this discrimination against nonparticipating candidates furnishes independent grounds for this Court's review. See note 2 *supra*.

But even if the trigger were deemed constitutional, the 28-day window is far too sweeping to be sustained. The State has far less burdensome alternatives, such as requiring nonparticipating candidates to report to the State when they have exceeded the trigger amount so as to enable it to lift the restrictions on participating candidates. Shutting down a nonparticipating candidate's fundraising for the final month of a campaign is wholly unnecessary to ensure the State an opportunity to accord privileges to participating candidates.

Resolving whether Kentucky's 28-day window conflicts with *Buckley* is a matter of increasing importance as other states consider parallel campaign finance reforms. Accordingly, it warrants this Court's review.

CONCLUSION

For these reasons, petitioner respectfully requests that this Court grant the petition and issue a writ of certiorari to the court of appeals.

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November 25, 1998

APPENDIX

APPENDIX A

RECOMMENDED FOR FULL-TEXT PUBLICATION
Pursuant to Sixth Circuit Rule 24
ELECTRONIC CITATION: 1998 FED App. 0131P (6th Cir.)
File Name: 98a0131p.06

UNITED STATES COURT OF APPEALS

FOR THE SIXTH CIRCUIT

Nos. 96-6451/6475

ROBERT E. GABLE, - *Plaintiff-Appellant/Cross-Appellee,*

v.

PAUL E. PATTON, in his official capacity as Governor of the Commonwealth of Kentucky; A. B. CHANDLER, III, in his official capacity as Attorney General of the Commonwealth of Kentucky; KENTUCKY REGISTRY OF ELECTION FINANCE; DONALD L. COX, in his official capacity as Chair of the Kentucky Registry of Election Finance; MORRIS E. BURTON, in his official capacity as Franklin County Commonwealth Attorney; JAMES E. BOYD, in his official capacity as Franklin County Attorney; JOHN Y. BROWN, III, in his official capacity as Secretary of State for the Commonwealth of Kentucky, - - *Defendants-Appellees/Cross-Appellants.*

Appeal from the United States District Court for the Eastern District of Kentucky at Frankfort. No. 95-00012—Joseph M. Hood, District Judge.

Argued: December 2, 1997

OPINION—Decided and Filed April 30, 1998

Before: NORRIS, SUHRHEINRICH, and CUDAHY[1], Circuit Judges.

COUNSEL

ARGUED: Robert L. Abell, Lexington, Kentucky, for Appellant. Sheryl G. Snyder, BROWN, TODD & HEYBURN, Louisville, Kentucky, for Appellees. ON BRIEF: Robert L. Abell, Lexington, Kentucky, Edward E. Dove, Lexington, Kentucky, for Appellant. Sheryl G. Snyder, Susan S. Wettle, BROWN, TODD & HEYBURN, Louisville, Kentucky, Virginia H. Snell, WYATT, TARRANT & COMBS, Louisville, Kentucky, William B. Pettus, OFFICE OF THE ATTORNEY GENERAL, CIVIL & ENVIRONMENTAL LAW DIVISION, Frankfort, Kentucky, Jacquelyn P. Eckert, Louisville, Kentucky, John E. Kuhn, Jr., OFFICE OF THE U.S. ATTORNEY, Louisville, Kentucky, for Appellees. Dennis M. Flannery, WILMER, CUTLER & PICKERING, Washington, D.C., Richard V. Beliles, Prospect, Kentucky, for Amicus Curiae.

SUHRHEINRICH, J., delivered the opinion of the court, in which NORRIS, J., joined. CUDAHY, J. (pp. 25-27), delivered a separate opinion concurring in part and dissenting in part.

OPINION

SUHRHEINRICH, Circuit Judge. Plaintiff Robert E. Gable, a candidate for governor in Kentucky's 1995 Republican primary, brought suit challenging numerous provisions of Kentucky's campaign finance and election laws on First Amendment grounds. Several of the provisions involve Kentucky's optional public funding scheme, in which Plaintiff chose not to participate. Defendants include various state and county officials, as well as the Kentucky

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[1] The Honorable Richard D. Cudahy, Circuit Judge of the United States Court of Appeals for the Seventh Circuit, sitting by designation.

Registry of Election Finance (hereinafter Registry), the state agency charged with enforcing campaign finance laws. The district court granted summary judgment for Defendants, except with regard to one aspect of one statutory provision, for which summary judgment was granted for Plaintiff. Plaintiff's appeal involves four of the provisions ruled on by the court. Defendants' cross-appeal challenges the one issue that was decided in Plaintiff's favor. We AFFIRM the district court's decision in all respects.

I. Provisions Challenged On Appeal

This appeal and cross-appeal challenges the district court's decision with regard to four provisions of Kentucky's campaign finance and election laws. These four provisions include:

(1) Ky. Rev. Stat. § 121.190(1) (hereinafter the Sponsor Identification provision), which requires that all advertisements advocating the election of a particular candidate contain identification of the sponsor. This provision explicitly includes "posters," "circulars," and "handbills," and it this aspect of the provision which Plaintiff challenges.[2]

(2) Ky. Rev. Stat. § 118.127 (hereinafter the Slating provision), which requires candidates for governor and lieutenant governor to run in their party's primary as part of a

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[2] The Sponsor Identification provision applies to "[a]ll newspaper or magazine advertising, posters, circulars, billboards, handbills, sample ballots, and paid-for television or radio announcements which expressly advocate the election or defeat of a clearly identified candidate, slate of candidates, or group of candidates for nomination or election to any public office." Ky. Rev. Stat. § 121.190(1). The required identification consists of "the words 'paid for by' followed by the name and address of the individual or committee which paid for the communication; except that if paid for by a candidate, slate of candidates, or campaign committee, it shall be identified only by the words 'paid for by' followed by the name." *Id.*

single slate, rather than running individually.[3]

(3) Ky. Rev. Stat. § 121A.030(5) (hereinafter the 28-Day Window), which prohibits all gubernatorial candidate slates, including those electing not to participate in public funding (hereinafter non-participating slates), from accepting contributions during the twenty-eight days preceding a primary or general election.[4] This prohibition applies to candidates' contributions to their own campaigns, as well as to contributions from outside sources. The 28-Day Window does not affect funds which are already in the slate's campaign account at the beginning of the 28-day period.

(4) Ky. Rev. Stat. § 121A.030(5)(a) (hereinafter the Trigger), which affects the $1.8 million campaign spending limit. *Id.* § 121A.030(1). The limit applies separately to the primary and general elections and affects only those slates which elect to participate in public funding (hereinafter participating slates). When a non-participating slate collects more than $1.8 million in campaign funds in a primary or general election, including contributions from the candidates themselves, the Trigger is activated.[5] The result is that the $1.8 million spending limit for participating slates is lifted, and the 28-Day Window is lifted for all slates. Before the Trigger is activated, participating slates may raise up to $600,000, *id.* § 121A.060(1), which, when combined with two-for-one matching public funds, *id.* § 121A.060(3)(c), results in campaign funds of up to $1.8 million. After the Trigger is activated, a participating slate

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[3] Plaintiff's challenge to the Slating requirement cites Ky. Rev. Stat. §§ 118.125 and 118.127 in tandem, but § 118.125 is only tangentially related to the requirement.

[4] Prior to a 1996 amendment to the statute, the window was thirty days long instead of twenty eight. A fourteen-day window applies to primary *runoff* elections.

[5] In a primary *runoff* election, a $300,000 ceiling and triggering threshold is substituted for the $1.8 million figures. Ky. Rev. Stat. § 121A.030(1).

may raise an unlimited amount of money, all of which is matched by the two-for-one public funding.[6]

The district court granted summary judgment with respect to all four provisions above. It held the 28-Day Window to be unconstitutional with regard to non-participating candidates contributing to their own campaigns, and that decision is contested in Defendants' cross-appeal. In all other respects, the four provisions were found to be constitutional, forming the basis for Plaintiff's appeal. Because the four provisions are challenged with regard to facial constitutionality, thus implicating only issues of law, neither Plaintiff nor Defendants contest the appropriateness of summary judgment. For the same reason, our standard of review is de novo. *See Kentucky Right To Life, Inc. v. Terry*, 108 F.3d 637, 644 (6th Cir.), *cert denied*, 118 S.Ct. 162 (1997). Under that standard, we AFFIRM the district court's decision with respect to each of the four provisions challenged on appeal.

II. The Sponsor Identification Provision

The Sponsor Identification provision, Ky. Rev. Stat. § 121.190(1), requires that advertisements supporting a particular candidate contain identification of the sponsor. Defendants maintain that this provision provides an essential means of detecting violations of various contribution and spending limits in Kentucky's campaign finance scheme. Plaintiff claims that the provision violates his First Amendment right to free speech, inasmuch as it prohibits *anonymous* handbills, posters, circulars, and the like.

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[6] A participating slate is not eligible for matching funds until 1) it has raised at least $300,000, Ky. Rev. Stat. § 121A.060(1), and 2) an opposing slate (whether participating or not) has raised at least $300,000. *Id.* § 121A.060(13). The latter provision is intended to prevent the use of public funds in uncontested elections.

He argues that 1) these forms of communication involve expenditures too modest to implicate a compelling state interest, and 2) without a compelling state interest, the burden on First Amendment freedoms imposed by the Sponsor Identification provision cannot survive constitutional scrutiny. In particular, Plaintiff points to Kentucky's requirement that anyone making *more than* $500 in independent expenditures on behalf of candidates in a single election must report the expenditures to the Registry. *Id.* §§ 121.150(1), 121A.010(13). Plaintiff argues that this threshold represents the state's judgment that modest expenditures of less than $500 are too small for the state to assert a compelling interest in regulating them.

The district court initially enjoined enforcement of the Sponsor Identification provision, but ultimately upheld it as constitutional. The court found that although the provision infringes on First Amendment rights, it survives strict scrutiny, because it is narrowly tailored to meet the state's compelling interest in enforcing its campaign finance laws and thereby combating corruption.

After the notices of appeal and cross-appeal had been filed in this case, we upheld the Sponsor Identification provision in *Kentucky Right To Life, Inc. v. Terry*, 108 F.3d 637 (6th Cir. 1997), *cert denied*, 118 S.Ct. 162 (1997). This court's reasoning in *Kentucky Right To Life* was similar to that of the district court in the instant case. We conceded that the Sponsor Identification provision "clearly implicates First Amendment protection because it burdens core political speech [and thus] it must be narrowly tailored to serve an overriding state interest." *Id.* at 648 (citation and internal quotation marks omitted). However, we held that the provision is constitutional because it is narrowly tailored toward achieving two "substantial governmental interests," namely (1) it "prevents actual and perceived corruption by immediately notifying the public of any possible allegiance a particular candidate may feel toward the publisher," and (2) it "provides the Registry with a method of detecting those expenditures which are not truly indepen-

dent." *Id.*[7]

Plaintiff introduces an argument not raised in *Kentucky Right To Life*, namely that sponsor identification cannot be constitutionally required on handbills, posters, circulars, and the like. While *Kentucky Right To Life* does not foreclose an as-applied constitutional challenge by someone convicted of distributing a small number of anonymous circulars, Plaintiff's challenge to the constitutionality of the Sponsor Identification provision is facial. Plaintiff's introduction of a new legal argument does not provide a basis for us to distinguish the instant case from *Kentucky Right To Life*, which did not make any distinctions regarding the type of advertisement or amount of money expended. As *Salmi v. Secretary of Health and Human Services*, 774 F.2d 685, 689 (6th Cir. 1985), explained, "[a] panel of this Court cannot overrule the decision of another panel. The prior decision remains controlling authority unless an inconsistent decision of the United States Supreme Court requires modification of the decision or this Court sitting en banc overrules the prior decision." Neither of these conditions have occurred. Therefore, we affirm the district court's holding that the Sponsor Identification provision is constitutional.

III. The Slating Provision

The Slating provision, Ky. Rev. Stat. § 118.127, requires candidates for governor and lieutenant governor to run in their party's primary as part of a single slate. The district court held the provision to be constitutional, rejecting Plaintiff's claim that it violates his First Amendment right to freedom of association. Plaintiff argues that the

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[7] Detection of expenditures which are not truly independent is important, because money spent on a genuine "independent expenditure," *see* Ky. Rev. Stat. § 121A.010(13), is not counted as a contribution under other provisions of Kentucky's campaign finance laws, e.g., the 28-Day Window and the $1.8 million ceiling.

Slating provision dictates the terms of his association with his chosen political party, both in his capacity as a member and as a candidate in the party's primary. In sum, Plaintiff contends that the provision dictates to him and his party "how they may perform one of their most integral functions: selection of their general election candidates."

A. Standing

As a preliminary matter, we must consider whether Plaintiff has standing to challenge the Slating provision, an issue not addressed by the district court. Defendants contend that Plaintiff does not have standing, because he does not have the perogative to decide how his party's candidates will be selected. The "associational rights that he identifies are not his personally, but are those only of the Republican Party," Defendants argue. They add that, even if this court were to confer *jus tertii* standing on Plaintiff, he could not assert the rights of an unincorporated association like his party, because he did not plead the claim as a class action.

Plaintiff argues that he has standing to make the freedom of association claim based on 1) his participation in candidate selection as a party member, and 2) his candidacy in the party's primary. We conclude that Plaintiff's argument is correct, at least with regard to his status as a party member. The Supreme Court has repeatedly stated that "[a]ny interference with the freedom of a party is simultaneously an interference with the freedom of its adherents." *Sweezy v. New Hampshire*, 354 US 234, 250 (1957); *accord Tashjian v. Republican Party of Conn.*, 479 U.S. 208, 215 (1986); *Democratic Party of U.S. v. Wisconsin ex rel. LaFollette*, 450 U.S. 107, 122 (1981); *see also* Julia E. Guttman, *Primary Elections and the Collective Right of Freedom of Association*, 94 Yale L.J. 117, 117 n.3 (1984) ("In the past, when a political party has brought suit, it has alleged an infringement of the rights of its members. Thus, when a political party can sue, any party member could also sue.").

B. Substantive Issues

Defendants argue that, even if Plaintiff does have standing to challenge the Slating provision, the challenge must fail because 1) the provision merely regulates Plaintiff's access to the ballot, without affecting his freedom of association, and 2) the provision is supported by a compelling state interest in preventing "factionalism," i.e., dissension between the governor and lieutenant governor. The district court used similar reasoning in upholding the Slating provision. It found that "Gable may be as free in his political association as he chooses," because the provision does not restrict Gable's choice of a running mate for his slate. The court conceded that the provision did burden Gable's right to access the ballot, but concluded that even that burden was slight. Finally, the court found that "[i]t is undisputed that Kentucky's interest in preventing factionalism and in stabilizing government are recognized as compelling. . . . [This interest was] born of years of attempting to cope with factionalism in the gubernatorial race."

The district court found that evaluation of the constitutionality of the Slating provision was governed by the standard set forth in *Anderson v. Celebrezze*, 460 U.S. 780 (1983). We agree. Although *Anderson* struck down Ohio's early filing deadline for independent presidential candidates, finding it to be an unconstitutional burden on the voting and associational rights of the candidates' supporters, the Court stated that:

> [A]s a practical matter, there must be a substantial regulation of elections if they are to be fair and honest and if some sort of order, rather than chaos, is to accompany the democratic processes. . . . Each provision of these [regulations], whether it governs the registration and qualifications of voters, the *selection and eligibility of candidates*, or the voting process itself, inevitably affects — at least to some degree — the individual's right to vote and his right to associate with others for political ends. Nevertheless, the State's

> important regulatory interests are generally sufficient to justify reasonable, nondiscriminatory restrictions.

Id. at 788 (emphasis added) (citation and internal quotation marks omitted). Like the district court, we find the Slating provision to be just such a reasonable, nondiscriminatory restriction. As a matter of fact, the burden this provision places on Plaintiff appears relatively small compared to the example in *Anderson* of a reasonable, nondiscriminatory ballot access restriction. That example involved a state "requir[ing] candidates to make a preliminary showing of substantial support in order to qualify for a place on the ballot." *Id.* at 788 n.9.

The modest burden placed on Plaintiff's "right to associate with others for political ends" is clearly justified by "the State's important regulatory interests." *Id.* at 788. *Storer v. Brown*, 415 U.S. 724 (1974), noted that "the Founding Fathers [believed] that splintered parties and unrestrained factionalism may do significant damage to the fabric of government," *id.* at 736, leading the Court to conclude that "the State's interest in the stability of its political system [is] not only permissible, but compelling." *Id.* While Plaintiff contends that Kentucky's proffered interest in ameliorating factionalism is "nothing more than a claim of right to assure the ideological compatibility of a party's general election candidates," this is not so much an argument as it is a pejorative rephrasing of what the Supreme Court has held to be a compelling state interest. Because the state's compelling interest clearly outweighs the modest burden on Plaintiff's constitutional rights, we affirm the district court's holding that the Slating provision is constitutional.

IV. The Trigger Provision

The Trigger, Ky. Rev. Stat. § 121A.030(5)(a), is a mechanism whereby, when a non-participating slate collects more than $1.8 million in campaign funds in a primary or general election, the $1.8 million ceiling is lifted for participating slates, and the 28-Day Window is lifted for all slates.

Defendants maintain that the Trigger provision is designed to encourage candidates to participate in Kentucky's campaign finance scheme, including its $1.8 million expenditure limit. They argue that the Trigger must be a part of that scheme "[i]n order to assuage the wholly legitimate fears of participating slates" that they will be "vastly outspent due to their agreement to accept spending limits." Defendants contend that the overall scheme serves a compelling state interest in minimizing the role of fundraising and "combat[ing] corruption by ending the money chase that has undermined the integrity of politicians and the faith of the public in the political process."

Plaintiff contends that the Trigger provision violates his First Amendment right to free speech. The crux of his claim is that the effect of the Trigger is to coerce him into limiting his campaign spending to $1.8 million, thereby forgoing protected speech. The alleged coercion flows from the fact that, if he exceeds the $1.8 million threshold by any amount, his campaign will potentially be "inundated" by the spending of participating slates, which will not only be released from their ceiling, but will continue to get unlimited two-for-one matching public funds. Put another way, Plaintiff asserts that there is a high "penalty" for his 1.8 millionth dollar of speech.

The district court held the Trigger provision to be constitutional, rejecting what it called a "benefit equals burden" argument predicated on the notion that benefits provided to participating slates by activation of the Trigger represent a penalty on Plaintiff's speech. However, the court conceded that "[t]here is no question but that the trigger provision . . . restricts free political speech. . . . [S]peech will be stifled to some degree by the fear that the participating candidate will clearly 'outspend' the non-participating candidate once the cap is lifted, given the additional '2 to 1' funding." However, the court upheld the Trigger because "the state has a compelling interest in keeping campaign expenditures at levels that do not encourage actual or apparent corruption of the political pro-

cess, i.e., to keep one candidate from essentially buying a campaign."[8]

To the extent that the district court relied upon Kentucky's interest in preventing candidates from buying victory, it erred in light of *Buckley v. Valeo*, 424 U.S. 1 (1976) (per curiam) (upholding and striking down various portions of the Federal Election Campaign Act and related provisions), the seminal campaign finance case which "provides the constitutional framework for analyzing First Amendment challenges to campaign contribution regulations." *Kentucky Right To Life, Inc. v. Terry*, 108 F.3d 637, 647 (6th Cir.), *cert denied*, 118 S.Ct. 162 (1997). The *Buckley* Court held that the "interest in equalizing the relative financial resources of candidates . . . is clearly not sufficient to justify . . . infringement of fundamental First Amendment rights." *Buckley*, 424 U.S. at 54. However, "[t]he Supreme Court has consistently held that preventing perceived corruption is a compelling state interest." *Kentucky Right To Life*, 108 F.3d at 650-51. Hence, the district court has identified a state interest which can potentially justify the burden on Plaintiff's First Amendment rights.

We turn now to analyzing the extent of the burden on Plaintiff's First Amendment rights. In general, the public funding of candidates in return for their acceptance of expenditure limits is constitutional, *Buckley*, 424 U.S. at 57 n.65, despite the potential for pressuring candidates into accepting the expenditure limits. However, as the district

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[8] Similar reasoning was used in *Wilkinson v. Jones*, 876 F.Supp. 916 (W.D. Ky. 1995), which also upheld Kentucky's Trigger provision. That court stated that even if "the trigger provision chills speech to some degree, we find that it is a narrowly tailored means which addresses a compelling state interest . . . in encouraging candidates to accept public financing and its accompanying limitations which are designed to promote greater political dialogue among the candidates and combat corruption." *Id.* at 928.

court succinctly stated, "although a statutorily created benefit does not per se result in an unconstitutional burden, such benefits could conceivably 'snowball' into a 'coercive' measure upon a non-participating candidate." *See Vote Choice, Inc. v. DiStefano*, 4 F.3d 26, 38 (1st Cir. 1993) ("[T]here is a point at which [public financing] incentives stray beyond the pale, creating disparities so profound that they become impermissibly coercive."); *Rosenstiel v. Rodriguez*, 101 F.3d 1544, 1550 (8th Cir. 1996) ("[T]he State's public financing package does not . . . create such a large disparity between benefits and restrictions that candidates are coerced to publicly finance their campaigns."); *Wilkinson v. Jones*, 876 F.Supp. 916, 929 (W.D. Ky. 1995).

The district court gave an example of such coercion, stating that if Kentucky provided four dollars in matching funds, instead of the current two dollars, for every dollar raised by participating candidates, a non-participating candidate would have no way of remaining competitive once the $1.8 million ceiling was lifted. As a result, the court said, "the candidate would have no real choice but to participate in the scheme," making it unconstitutional. The doctrine that benefits provided to participating candidates can become unconstitutionally coercive, if they are overwhelming enough, follows logically from the holding in *Buckley* that involuntary limits on a candidate's campaign expenditures are unconstitutional. *See Buckley*, 424 U.S. at 58. This holding would be rendered meaningless if the government could effectively force a candidate into accepting expenditure limits by providing overwhelming benefits to participating candidates.

Thus, the central question we are faced with is whether the substantial advantage the Trigger provides to participating candidates rises to the level of unconstitutional coercion. At the very least, the Trigger provision can be said to provide very strong incentives for participation in Kentucky's campaign finance scheme. Because of the Trigger, a non-participating candidate derives no relative advantage from the $1.8 million spending limit on his par-

ticipating opponents. Yet, because his participating opponents receive two-for-one public funding, resulting in three dollars spent for every one dollar raised, there is a substantial cost for non-participation. Given the lack of balance between costs and advantages, there is only a narrow set of circumstances under which a candidate could make a financially rational decision not to participate. That situation is where the non-participating candidate intends to exceed the $1.8 million threshold and believes he will raise more than three times the funds his participating opponents can raise.

In this respect, the Trigger is certainly more coercive than the federal campaign finance scheme for presidential elections. Under that scheme, 26 U.S.C. §§ 9001-9042, candidates who accept an expenditure ceiling in return for public funding are not released from the ceiling regardless of how much their non-participating opponents spend. The federal scheme was upheld in *Republican Nat'l Comm. v. Federal Election Comm'n*, 487 F.Supp. 280, 283-88 (S.D. N.Y. 1980) (3-judge court), which was affirmed without comment by the Supreme Court, 445 U.S. 955 (1980). However, the Court has not provided any guidance as to how much farther a campaign finance scheme can go in providing incentives for participation before it crosses the line and becomes unconstitutionally coercive.

The lower courts do not provide much guidance either, as there is little case law that is truly on point. However, the Eighth Circuit did uphold a provision of Minnesota's campaign finance law, which in some respects, goes further than the Trigger in strongly discouraging non-participation. *Rosenstiel v. Rodriguez*, 101 F.3d 1544 (8th Cir. 1996). Like the Kentucky scheme, Minnesota's law permits publicly financed candidates to exceed an expenditure ceiling when their non-participating opponents raise funds in excess of a certain triggering amount. *Id.* at 1547. Minnesota's trigger provides a bigger advantage to participating candidates than does Kentucky's, because the triggering amount in Minnesota is less than the ceiling. *Id.*

However, in other respects, the Minnesota scheme does not go as far as Kentucky's, because the public funding does not continue unabated after the ceiling is lifted. Instead, the amount of public funds a candidate may receive is limited to fifty percent of the ceiling amount. *Id.* at 1546.

Returning to Kentucky's scheme, it is clear that candidates are under financial pressure to participate, since participation will be the rational choice in the large majority of cases. However, a voluntary campaign finance scheme must rely on incentives for participation, which, by definition, means structuring the scheme so that participation is usually the rational choice. Were we to conclude that the incentives provided by Kentucky are unconstitutional, we would be making a distinction based on degree. In that sense, *Buckley* does provide some guidance. In upholding a one thousand dollar limit on campaign contributions by individuals, the Court stated that if "some limit on contributions is necessary, a court has no scalpel to probe, whether, say, a $2,000 ceiling might not serve as well as $1,000. Such distinctions in degree become significant only when they can be said to amount to differences in kind." *Buckley*, 424 U.S. at 30 (citation and internal quotation marks omitted). We believe the same principle applies here. Absent a clearer form of coercion, we decline to find that the incentives inherent in the Trigger provision are different in kind from clearly constitutional incentives. Faced with a difference only in degree, we will not second guess the Kentucky legislature by applying a "scalpel" and declaring that Kentucky's scheme goes one step over the line of unconstitutional coercion, especially where, as here, the line is not a clear one. Therefore, we affirm the district court and hold that Kentucky's Trigger provision is constitutional.

V. The 28-Day Window

The 28-Day Window, Ky. Rev. Stat. § 121A.030(5), prohibits all gubernatorial candidate slates from accepting contributions or contributing to their own campaigns during

the twenty-eight days preceding a primary or general election. However, any money already in the slate's campaign account can be spent during this period. While it is clear that Kentucky can impose this prohibition on candidates who voluntarily participate in the state's public funding scheme, *see Buckley*, 424 U.S. at 57 n.65 ("Congress may . . . condition acceptance of public funds on an agreement by the candidate to abide by specified expenditure limitations."), the constitutionality of the prohibition on non-participating candidates is in question. Plaintiff, a non-participating candidate, contends that the 28-Day Window violates his First Amendment right to free speech, by limiting his political expression during the last twenty-eight days of a campaign. He argues that the Window violates his right to free association as well, because it interferes with his relationship with his contributors.

Defendants respond that the 28-Day Window is required in order to effectuate the Trigger, Ky. Rev. Stat. § 121A.030(5)(a), which, they claim, is an indispensable part of Kentucky's entire public funding scheme. Defendants maintain that the purpose of the 28-Day Window is to ensure that all contributions (including those to a candidate's own campaign) are made before the final pre-election reporting date, so that, if a non-participating slate has exceeded the $1.8 million threshold, the Registry can detect it in time to activate the Trigger. Moreover, Defendants argue, the Trigger must be activated long enough before the election to allow participating slates a meaningful amount of time to solicit additional contributions.

The district court held the 28-Day Window to be constitutional with regard to contributions from outside sources (hereinafter *external contributions*), but held it to be unconstitutional with respect to non-participating candidates contributing to their own campaigns (hereinafter *internal expenditures*). Plaintiff challenges the court's decision on external contributions, while Defendants challenge the decision on internal expenditures. The key for analyzing both issues is *Buckley* and its holdings on provisions of the

Federal Election Campaign Act of 1971, 86 Stat. 3, as amended by 88 Stat. 1263 (1974) (hereinafter the Federal Act). Two of those holdings are particularly important here. One, the *Buckley* Court upheld the Federal Act's limits on the amount of money that an individual or group could contribute to a candidate for federal office. *Buckley*, 424 U.S. at 23-36. Two, the Court struck down, as unconstitutional, the Act's limits on a candidate's expenditure of his own money. *Id.* at 51-54. Subsection A below analyzes the 28-Day Window with respect to external contributions, while subsection B looks at internal expenditures.

A. External Contributions

Although the district court devoted three pages to discussing the constitutionality of the 28-Day Window with respect to internal expenditures, it devoted only one sentence to the issue of external contributions. Specifically, the court said that "*Buckley* legitimatizes limiting contributions from other sources during the reporting period." The district court is evidently referring to the holding in *Buckley* that the Federal Act's limits on the size of external contributions is constitutional. While *Buckley* found that these limits did burden free speech and free association to some extent, 424 U.S. at 20-23, it also found that the burdens were justified.[9] The *Buckley* Court concluded that "[i]t is unnecessary to look beyond the Act's primary purpose to limit the actuality and appearance of corruption resulting from large individual financial contributions in order to find a constitutionally sufficient justification." *Id.* at 26.

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[9] *Buckley* stated that the limits "impinge on protected associational freedoms [because] [m]aking a contribution, like joining a political party, serves to affiliate a person with a candidate. In addition, it enables like-minded persons to pool their resources in furtherance of common political goals." *Buckley*, 424 U.S. at 22. Although the Supreme Court was discussing the associational rights of contributors, the same argument can be made for Plaintiff's right to affiliate and pool resources with contributors.

We accept Defendants' contention that the purpose of Kentucky's campaign finance scheme is also to limit the actuality and appearance of corruption, and that the 28-Day Window is an important part of that scheme. However, we disagree with the district court that *Buckley* is so clearly controlling that no further analysis is necessary. One reason for our disagreement is that *Buckley* addressed the First Amendment rights of *contributors*, whereas the instant case involves the right of a *candidate* to receive contributions. Another reason is that *Buckley* relied on "[t]he major evil . . . [being] the danger of candidate dependence on *large* contributions," *id.* at 55 (emphasis added), whereas the 28-Day Window makes no distinction based on contribution size. Consider the following conclusion by the *Buckley* Court:

> [A] limitation upon the amount that any one person or group may contribute to a candidate or political committee entails only a marginal restriction upon the contributor's ability to engage in free communication. . . . The quantity of communication by the contributor does not increase perceptibly with the size of his contribution.

Id. at 20-21. That reasoning simply has no relevance in the instant case.

Thus, the application of *Buckley* to the instant case is far from straightforward. Nonetheless, we would be ignoring the obvious if we maintained that the right of candidates to receive contributions emerged unfettered from the *Buckley* decision. The *Buckley* Court gave no indication that its decision would have been different had the right of candidates to receive contributions been asserted. To the contrary, *Buckley* sanctioned the fact that the Federal Act would force candidates to rearrange their fundraising by seeking out many small donors, instead of a few large ones. *Id.* at 21-22 ("The overall effect of the Act's contribution ceilings is merely to require candidates and political committees to raise funds from a greater number of persons."). The effect of the 28-Day Window with respect to external contributions is similar. Candidates will be forced

to rearrange their fundraising by concentrating it in the period before the 28-Day Window begins. That is not a trivial restriction, but we read *Buckley* to say that such a restriction is justified by Kentucky's interest in combating corruption. We, therefore, affirm the district court's holding that the 28-Day Window is constitutional with respect to external contributions.

B. Internal Expenditures

In striking down the 28-Day Window with respect to internal expenditures, the district court relied on *Buckley* to conclude that "[t]here can be no doubt that a candidate cannot be restricted from contributing to and spending for his own candidacy." We essentially agree. The question of whether Kentucky can extend the 28-Day Window to internal expenditures by non-participating candidates is largely answered by the Supreme Court's clear statement that "the First Amendment simply cannot tolerate [the Federal Act's] restriction upon the freedom of a candidate to speak without legislative limit on behalf of his own candidacy." *Buckley*, 424 U.S. at 54; *see Colorado Republican Fed. Campaign Comm. v. Federal Election Comm'n*, 116 S.Ct. 2309, 2321 (1996) (Kennedy, J., concurring in the judgment and dissenting in part) ("The central holding in [*Buckley*] is that spending money on one's own speech must be permitted.").

The *Buckley* Court reached this conclusion primarily for two reasons. One, it found that "the Act's expenditure limitations impose far greater restraints on the freedom of speech and association than do its contribution limitations." *Buckley*, 424 U.S. at 44.[10] Two, the Court found that "[t]he

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[10] In addition to limiting the amount a candidate could spend on his own campaign, the Federal Act 1) imposed a ceiling on overall expenditures by a candidate, and 2) limited the size of independent expenditures, i.e., those made "relative to a clearly identified candidate," but not authorized or requested by the candidate. *Buckley*, 424 U.S. at 39. All of these expenditure limitations were held to be unconstitutional in *Buckley*. *Id.* at 58.

primary governmental interest [of preventing] actual and apparent corruption of the political process does not support the limitation on the candidate's expenditure of his own personal funds," *id.* at 53, because a candidate cannot become beholden to himself. Indeed, as the Court pointed out, "the use of personal funds reduces the candidate's dependence on outside contributions and thereby counteracts the coercive pressures and attendant risks of abuse to which the Act's contribution limitations are directed." *Id.* The corruption-related interest cited by *Buckley* remains "the only legitimate and compelling government interest[] thus far identified for restricting campaign finances." *Federal Election Comm'n v. National Conservative Political Action Comm.*, 470 U.S. 480, 496-97 (1985).

Because "[t]he central holding in [*Buckley*] is that spending money on one's own speech must be permitted," *Colorado Republican Comm.*, 116 S.Ct. at 2321 (Kennedy, J., concurring in the judgment and dissenting in part), there is little room for Defendants to maneuver in attempting to show that the 28-Day Window can be constitutionally applied to internal expenditures. Nonetheless, we consider one possible distinction between the 28-Day Window and the internal expenditure provisions struck down in *Buckley*. Although *Buckley* pointed out that a candidate's use of his own money does not lead to corruption, Kentucky's interest in preventing actual and apparent corruption is served by the 28-Day Window's application to internal expenditures, albeit indirectly. Extension of the 28-Day Window to internal expenditures increases the effectiveness of the Window, which increases the effectiveness of the Trigger, which, in turn, strengthens the incentives for participating in Kentucky's campaign finance scheme, a scheme which is clearly aimed at the prevention of actual and apparent corruption. However, we ultimately must conclude that a distinction based on this reasoning cannot rescue the constitutionality of the 28-Day Window's application to internal expenditures.

We reach that conclusion for several reasons. One, *Buckley* relies more on the extent of the First Amendment burden imposed by expenditure limits than it does on the weight of governmental interests. *See Pacific Gas & Elec. Co. v. Public Utils. Comm'n of Cal.*, 475 U.S. 1, 29 n.2 (1986) (Rehnquist, J., dissenting) ("[T]he critical distinction [in *Buckley*] between the contribution and expenditure limitations [is] not the relative worth of the respective governmental interests," but instead is the fact that expenditure "limits 'impose far greater restraints on the freedom of speech and association.'") (quoting *Buckley*, 424 U.S. at 44). Two, *Buckley* stated that "[t]he markedly greater burden on basic freedoms caused by [the limit on independent expenditures] cannot be sustained simply by invoking the interest in maximizing the effectiveness of the less intrusive contribution limitations." *Buckley*, 424 U.S. at 44. Similarly, we reject the argument that the greater burden imposed by the 28-Day Window's extension to internal expenditures can be justified by its impact on the effectiveness of the less intrusive Trigger provision. Three, the marginal increase in the effectiveness of the Trigger that is gained by extending the 28-Day Window to internal expenditures is obviously aimed at wealthy candidates. Indeed, Defendants argue that the extension "ensures that a candidate who is extremely wealthy will not be able to 'buy the election' with unfettered and unopposed campaign power in the final days before votes are cast." Because the marginal increase is aimed at wealthy candidates, it provides an insufficient justification. *Buckley* found that the "interest in equalizing the relative financial resources of candidates . . . is clearly not sufficient to justify the [internal expenditure] provision's infringement of fundamental First Amendment rights." *Id.* at 54.

Defendants suggest another possible way to distinguish the 28-Day Window from the internal expenditure provision struck down in *Buckley*. They argue that the Window restricts contributions but not expenditures, because a gu-

bernatorial candidate can spend as much of his personal funds as he wants during the 28-day period, as long as the money is already deposited in his slate's campaign account when the period begins. Though candidates are prohibited from contributing to their own accounts in the last twenty-eight days, Defendants maintain that the act of contributing to one's own account does not involve any expression. This distinction, too, must fail for a number of reasons.

To begin with, it is erroneous for Defendants to argue that contributions but not expenditures are prohibited in the last twenty-eight days. If a candidate were to desire, during those twenty-eight days, to spend additional amounts of his own money on the campaign, Defendants' argument would dismiss the additional money as merely a contribution, which could be prohibited. However, *Buckley* explicitly rejected a lower court's attempt to characterize "the personal funds expended by the candidate on his own behalf as a contribution rather than an expenditure." *Buckley*, 424 U.S. at 52 n.58.

Defendants attempt to portray the requirement that a candidate deposit his personal funds in the campaign account before the twenty-eight days begin as little more than a financial technicality. However, it is much more than that, because it forces a candidate to decide in advance how much of his own money he will spend, before he has a chance to assess the public opinion polls and actions of his opponents in the last month of the campaign. Moreover, it would simply not be feasible for a candidate to deposit virtually all of his personal resources in the campaign account in advance, just in case he decides, during the last twenty-eight days, to spend those resources on his campaign. First, it is unlikely that all of the candidate's personal resources will be liquid. Second, the mere deposit of his personal funds counts towards activating the Trigger. Third, the candidate cannot easily take back his money

if it is unexpended at the end of the campaign.[11] In sum, it is disingenuous for Defendants to argue that the 28-Day Window does not burden a candidate's ability to spend personal funds on his own campaign.

Finally, Defendants attempt to distinguish the 28-Day Window from the provision struck down in *Buckley* by characterizing it as "merely a time, place and manner restriction." *Buckley* acknowledged that "the government may adopt reasonable time, place, and manner regulations, which do not discriminate among speakers or ideas, in order to further an important governmental interest unrelated to the restriction of communication." *Buckley*, 424 U.S. at 18. However, the *Buckley* Court went on to conclude that the Federal Act's expenditure limits, and even its external contribution limits, do not fall into that category, because they "impose direct *quantity* restrictions on political communication and association." *Id.* (emphasis added). In the previous paragraph, we discussed the effects of prohibiting a candidate from contributing to his own campaign in the final month. Because the effects are substantial, rather than just being a matter of timing, we agree with the district court that "[i]t cannot be seriously argued that the prohibition at issue does not restrict the *quantity* of political speech" (emphasis added). Therefore, for the same reason cited by *Buckley*, the 28-Day Window

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[11] Under Ky. Rev. Stat. § 121.180(10), the unexpended funds in the campaign account of a participating slate shall "escheat to the State Treasury, be returned pro rata to all contributors, . . . be transferred to the state or county executive committee of the political party of which the candidate is a member except that a candidate . . . may retain the funds to . . . seek election to the same office or may donate the funds to any charitable, nonprofit, or educational institution." Candidates cannot get around this provision by making large loans to their campaigns. *See id.* § 121.150(13) ("No candidates running as a slate . . . shall make combined total personal loans to their committee in excess of fifty thousand dollars.").

cannot be characterized as a mere time, place and manner restriction.

While we are sympathetic to the administrative goals of the 28-Day Window, we cannot distinguish it from the internal expenditure provision struck down in *Buckley*. Thus, we are bound by the Supreme Court's clear statement that "the First Amendment simply cannot tolerate" this type of restriction on the freedom of a candidate to speak on his own behalf. *Buckley*, 424 U.S. at 54. Accordingly, we affirm the district court's holding that the 28-Day Window is unconstitutional when it prohibits a non-participating candidate from contributing to his own campaign.

VI. Conclusion

We hold that Kentucky's Sponsor Identification provision, Ky. Rev. Stat. § 121.190(1), Slating requirement, *id.* § 118.127, and Trigger provision, *id.* § 121A.030(5)(a), are all constitutional. We further hold that the 28-Day Window, *id.* § 121A.030(5), is constitutional with respect to contributions from external sources. However, we hold that the 28-Day Window is unconstitutional when it prohibits a non-participating candidate from contributing to his own campaign. Thus, we AFFIRM the district court's decision in all respects.

CONCURRING IN PART, DISSENTING IN PART

CUDAHY, Circuit Judge, concurring in part and dissenting in part.

I concur in all of the cogent majority opinion except Part V.B., which invalidates the 28-Day Window insofar as it prohibits candidates from contributing to their own campaigns during the final weeks before an election. As the majority explains, Kentucky's campaign finance system is designed to combat actual and apparent corruption. The 28-Day Window does not merely "indirectly" advance this goal as the majority suggests; instead the Window is crucial to the effectiveness of the entire Kentucky scheme and its invalidation threatens to derail this reform effort. The

28-Day Window is intended to preclude participating and non-participating candidates from infusing last-minute cash into their campaign coffers, too late to be reported and to allow a response by their opponents. The majority has approved this 28-Day Window to the extent that it limits contributions by supporters. But as a result of the majority's disallowance of the same limitation on self-financing, a candidate using his own funds will now be free to ambush an adversary with a torrent of new cash after the last reporting deadline, when a response is no longer possible. A provision that forbids this unfair practice should not require a defense.

To justify its result, the majority is not, as it claims, merely applying *Buckley v. Valeo*, 424 U.S. 1 (1976). Instead, the majority is extending that case in a fashion that *Buckley* specifically forecloses. As the majority concedes, *Buckley* authorizes "reasonable time, place, and manner regulations, which do not discriminate among speakers or ideas, in order to further an important governmental interest unrelated to the restriction of communication," provided that the regulations do not impose "*direct* quantity restrictions on political communication and association." 424 U.S. at 18 (emphasis added).

Here the purpose and effect of the 28-Day Window is to prohibit contributions at a highly sensitive time—within a few weeks or days of the election and after the last financial report has been made. Since this is the end of the campaign, total contributions *might* be less than if there were no such restrictions. But the prohibition applies directly and explicitly to *when* contributions are made; there is no impact on amount unless, without the restriction, a candidate decided on a last-minute contribution. Whether a candidate would make such a contribution is a matter of conjecture. *Compare id.* at 19 ("The expenditure limitations contained in the Act represent substantial rather than merely theoretical restraints on the quantity and diversity of political speech."). The provision before us therefore does not impose "direct quantity restrictions" and is not a violation of the *Buckley* principle.

Nor does the 28-Day Window involve the evil at which *Buckley* was aimed. *Buckley* was concerned that a candidate not be prohibited from contributing to, and spending money on, her own candidacy. *See id.* at 52-53. Certainly that freedom is not at stake here. Candidates are free to make contributions, as frequently as they wish and of whatever magnitude they choose, before the advent of the 28-Day Window. The majority makes a number of unconvincing arguments about why this freedom fails to satisfy the requirements of the First Amendment. In particular, the majority has advanced the strawman that a candidate might need to "deposit virtually all of his personal resources" before the 28-day limit in the expectation of trouble to come. The reality would be simply that the candidate would put up something before the 28-Day Window (that she would be required to report) as a hedge against last-minute difficulties. If the difficulties did not materialize, it is likely that regular campaign expenses could absorb the surplus. In any event, if there were no last-minute problems requiring additional cash, the candidate's campaign no doubt went well, and she would be untroubled by any surplus.

All the 28-Day Window provides is *notice* that the contribution has been made and an opportunity for the opponent to respond. The provision thereby removes the unfairness of last-minute, unreported contributions. It is true that *Buckley* prohibits "restrict[ing] the speech of some elements of our society in order to enhance the relative voice of others." *Id.* at 48-49. But that does not mean that the First Amendment protects the right to ambush an opponent. *Cf. First Nat'l Bank of Boston v. Bellotti*, 435 U.S. 765, 789 (1978) ("If appellee's arguments were supported by . . . findings that . . . advocacy threatened imminently to undermine democratic processes, thereby denigrating rather than serving First Amendment interests, these arguments would merit our consideration.") (citing *Red Lion Broadcasting Co. v. FCC*, 395 U.S. 367 (1969)). Nor do I believe that denying such a right would result, as the majority contends, in only a "marginal" increase in the effec-

tiveness of the Trigger. The majority's logic here is not transparent. It may be saying that, since the application of the 28-Day Window is aimed at wealthy candidates, the effect is only marginal and cannot be a basis for disregarding *Buckley*'s injunction against attempting to equalize the financial resources of candidates. I am not sure how we can conclude that the effect of a last-minute cash infusion into a campaign that could be won by a single vote is only "marginal." However, if this is so, by the same token its prohibition cannot be a significant infringement of the First Amendment.

In sum, the majority is troubled that the 28-Day Window is a "burden" on a candidate's freedom to speak with her own dollars. But the alternative is to construct a special right to speak with unreported dollars at the last minute when no response is possible. I do not believe that the First Amendment requires such a perverse construction, and I therefore respectfully dissent with respect to this issue.

APPENDIX B

UNITED STATES DISTRICT COURT

EASTERN DISTRICT OF KENTUCKY
FRANKFORT

Civil Action No. 95-12

ROBERT E. GABLE, Et Al. - - - - - *Plaintiffs.*

v.

BRERETON C. JONES, Et Al., - - - *Defendants.*

MEMORANDUM OPINION AND ORDER—
Filed March 29, 1996

The parties, by and through counsel, having moved for summary judgment [Record Nos. 68, 71, 73, 75 & 79], and the Court having considered the parties' briefs, and argument of counsel, this matter is ripe for decision.

PROCEDURAL BACKGROUND

The plaintiffs filed the instant action on February 17, 1995, seeking a declaration of the constitutionality of various statutes under Kentucky's Campaign Finance Reform Law. As the basis of the Court's jurisdiction over this matter and a sufficient statement of the factual background have been set out in the Court's partial declaratory judgment order, a recitation of those facts is not necessary here.

The parties' motions for summary judgment address each of the 22 claims in the plaintiffs' amended complaint. However, Counts III, V, VII, VIII, X, XII, XIII, XIV, XV, XVIII, XX have been dismissed.[1] Accordingly, the Court

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[1] As the claims forwarding allegations asserted by the plaintiff, Darryl Sebastian [Sebastian], have been dismissed, the Court must dismiss Sebastian as a party to this action and will therefore refer to the plaintiff, Robert Gable [Gable], in the singular.

will address only the remaining claims, as well as revisit Gable's claim in regard to KRS 121.190.

DISCUSSION

I. Count I — KRS 118.125 and 118.127

KRS 118.125 and 118.127 were implemented by the legislature to give effect to a Kentucky constitutional amendment affirmed by referendum in 1992 which requires that Kentucky Gubernatorial and Lieutenant Gubernatorial candidates run as a slate. KRS 118.127 provides in pertinent part that "[n]o candidate for Governor or Lieutenant Governor shall appear individually on the ballot for the nomination he is seeking."

Gable argues that the slating requirement infringes upon his First Amendment right to free political association and his rights under the Fourteenth Amendment and is not supported by any compelling or important state interest. The defendants argue that the issue before the Court is not one concerning free political association, but rather one of "ballot access." The defendants contend, in the alternative, that the slating requirement is supported by Kentucky's compelling interests in preventing factionalism and providing a stable government.

"Core political speech" is not regulated by these election code provisions, *McIntyre* v. *Ohio*, 115 S.Ct. 1511 (1995), and thus KRS 118.125 and 118.127 do not burden Gable's First Amendment Right to free political association.[2] Instead, these statutes burden Gable's right to access the ballot and thus are subject to the "ordinary litigation" test set forth in *Anderson* v. *Celebrezze*, 460 U.S. 708K (1983). The Court in *Anderson* held that when a state election law imposes only "reasonable, nondiscrimi-

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[2] These statutes do not prevent Gable, as an individual running for governor, from choosing whomever he wishes to be his running mate. Thus, Gable may be as free in his political association as he chooses.

natory restrictions", the state's "important regulatory interests are generally sufficient to justify; the restrictions. *Id.* at 788. It is undisputed that Kentucky's interest din preventing factionalism and in stabilizing government are recognized as compelling. *See, Storer* v. *Brown*, 415 U.S. 724, 736 (1974) *American Party of Texas* v. *White*, 415 U.S. 767, 781 (1974).

KRS 118.125 and 118.127 are found to be reasonable, nondiscriminatory, and virtually unobtrusive restrictions on Gable's right to access the gubernatorial ballot. Any burden on his First Amendment right to access is slight. Against this burden, Kentucky has compelling interests which were born of years of attempting to cope with factionalism in the gubernatorial race. Such state interests certainly justify the limited restrictions on ballot access imposed by KRS 118.125 and 118.127.

To conclude otherwise would sacrifice a measure of political stability gained by the enactment of the statutes for the interest of potential gubernatorial candidates who wish to "run alone", a result not mandated by the First *or* the Fourteenth Amendments." Accordingly the defendants' motion for judgment as a matter of law as to Count I must be granted.

II. COUNTS II AND VI — KRS 121.030(5), KRS 121.030(5)(a)

This Court must first determine whether KRS 121A.030(5) burdens Gable's right to free political expression and whether 121A.030(5)(a) creates benefits for participating slates which in effect burden Gable's constitutional 'right to free political speech. *See, Buckley* v. *Valeo*, 424 U.S. 1, 25 (1976). If Gable's right to free political speech is burdened, then the statutory provisions must be narrowly tailored to meet a compelling state interest in order to comport with the mandates of the First Amendment. *Id.* at 18.

KRS 121A.030(5) prohibits slates of candidates in the governor's race from accepting campaign contributions dur-

ing the thirty days immediately preceding a primary or general election, or during the fourteen days immediately preceding a primary run-off. KRS 121A.030(5)(a) lifts the expenditure limitation upon a participating slate in the event a non-participating slate exceeds $ 1.8 million in campaign expenditures, allowing either candidate to accept campaign contributions within thirty days of the election'. It also provides for additional public funding on a "2 to 1" ratio for a participating slate, once the expenditure limit has been lifted.[3]

Gable contends that these statutes *create* unconstitutional burdens as they: (1) prohibit him from contributing to his own, or any campaign, in the thirty days prior to a primary or general election; (2) use his spending as a "trigger" for lifting the spending cap on participating slates; and (3) use his spending as a trigger for making additional public funds available for the participating slates.

A. CANDIDATE'S CONTRIBUTION TO HIS OWN CAMPAIGN

There can be no doubt that a candidate cannot be restricted from contributing to and spending for his own candidacy. *Id.* In *Buckley* the Supreme Court conveyed the magnitude of the protected right to contribute to one's down campaign. *Id.* at 52-53. The defendants argue that the Court in *Buckley* found only that the amount of campaign contributions from a candidate may not be constitutionally limited.

Kentucky's Election Finance Reform laws prohibit candidates from contributing to their own campaigns during the reporting period. In the event the participating slate expends, or has accepted, more than $1.8 million in the course of the campaign, the prohibition is lifted and both

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[3] The term "participating slate" refers to slates of candidates who file a statement of intent that they will accept transfers from the public fund created by KRS 121A.020(1), and in turn limit their campaign spending to $1.8 million.

participating and non-participating slates may continue to accept contributions or make contributions to their own campaign. If the non-participating slate has not spent over $1.8 million, neither slate is allowed to accept contributions during the reporting period.

The Court in *Buckley* did not address the narrow question before this Court: whether a "time" restriction limiting when a candidate may contribute to his own campaign is constitutionally permissible. The Court did, however, hold that the contribution limitations of the Federal Election Campaign Act of 1971 imposed direct quantity restrictions on political communications, in addition to any reasonable time, place, and manner regulations and that such restrictions were unconstitutional. *Id.* at 18.

The government may adopt reasonable time, place, and manner regulations, which do not discriminate among speakers or ideas, in order to further an important governmental interest unrelated to the restriction of communication. *See, Erznozik* v. *City of Jacksonville*, 422 U.S. 209, 209 (1975); *Cox* v. *Louisiana*, 379 U.S. 559 (1965); *Adderly* v. *Florida*, 385 U.S. 39 (1966); and *Kovacs* v. *Cooper*, 336 U.S. 77 (1949).

The allowable time, place, and manner restrictions are not exceptions to the doctrine of the First Amendment. It cannot be seriously argued that the prohibition at issue does not restrict the quantity of political communication. This statutory provision prohibits any contribution during the reporting period, therefore it is more restrictive in scope than the limitation addressed by the Court in *Buckley*.

The instant action is' distinguishable' from that in *Cox*, where the Supreme Court found parading and picketing 'o be conduct "intertwined with expression and association." *Cox* v. *Louisiana*, 379 U.S. at 563-564. The Court in *Buckley* clearly held that the ability to contribute to ones own campaign is a "substantial restraint on the ability of persons to engage in protected First Amendment expression." *Buckley* v. *Valeo*, 424 U.S. at 52. Thus, contribution to ones own campaign is not merely conduct "intertwined with

expression" and association" but is political expression squarely protected by the First Amendment.

The defendants concede that the prohibition at issue has been constructed in part to prevent last minute media blitzes by a candidate. Thus, the governmental interest in preventing campaign contributions during the reporting period involves "suppressing communication." *United States* v. *O'Brien*, 391 U.S. 367, 382 (1968). The Court in *Buckley*, found that governmental interest in regulating "giving or spending money 'arises in some measure because the communication allegedly integral to the conduct itself is thought to be harmful.'" *Buckley* v. *Valeo*, 424 U.S. at 17 (citing *United States* v. *O'Brien*, 391 U.S. at 382). The Court held that the primary governmental interest of preventing' actual and apparent corruption of the political process does not support a limitation on the candidate's expenditure of his own funds. *Id.* at 54. Moreover, administrative ease" is not a compelling state interest.

Accordingly, the contested statute abrogates any contribution for a 30 day period and does not merely "restrict" protected speech within the narrow scope of acceptable "time" limitations. To the extent that KRS 121A.030(5) limits a candidate's ability to contribute to his own campaign during the reporting period, the statute unconstitutionally restricts the candidate's First Amendment right to free political expression and Gable's motion for summary judgment on Count II must be granted. On the other hand, *Buckley* legitimatizes limiting contributions from other sources during the reporting period.

B. LIFTING THE CAP ON PRIVATE CONTRIBUTIONS

Clearly, the trigger mechanism allowing a non-participating to continue to raise money above the agreed $600,000.00 limit is not a burden upon Gable's right to free political speech. If Gable chooses to spend freely, this trigger mechanism will only promote political dialogue by lifting the spending cap from non-participating slates. Gable does not explain why he believes that the "use of his

spending" in this manner stifles his political expression or speech.

Moreover, the argument that the statute "chills" his free speech is not compelling. Again, Gable's freedom to spend is not restricted by KRS 121A.030(5)(a), and any "chill" upon his right to communicate is countered by Kentucky's compelling interest in combatting actual and apparent corruption of the political process.[4] *See, Wilkinson* v. *Jones*, 876 F.Supp. 916 (W.D.Ky. 1995).

C. ADDITIONAL PUBLIC FINANCING TRIGGERED BY SPENDING OF NON-PARTICIPATING SLATE

Gable argues that the incentive of additional "2 to 1" public funding is "coercive" and results in an unconstitutional burden upon his right to free political speech. The defendants rely upon the decisions in *Buckley, Wilkinson*, and the First Circuit Court of Appeals' decision in *Vote Choice, Inc.* v. *Distefano*, 4 F.3d 26, 38 (1st Cir. 1993), to counter Gable's argument.

The Court in *Buckley* squarely upheld the constitutionality of incentives created to encourage participation in expenditure limitation schemes. The Court rejected the "benefit equals burden" argument. Thus, this argument will not be successful here. Moreover, it is well established that without some evidence to the contrary, public financing schemes will not be treated as "punitive" measures. *See, Vote Choice, Inc.* v. *Distefano*, 4 F.3d at 38. However, the Court in *Buckley* and the court in *Vote Choice* acknowledged that although a statutorily created benefit does not *per se* result in an unconstitutional burden, such benefits could conceivably "snow ball" into a "coercive" measure upon a nonparticipating candidate. *Vote Choice, Inc.* v. *Distefano*, 4 F.3d at 39-40.

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[4] Apparently, Gable believes that the lifting of spending limits results in an incentive to the nonparticipating slate to accept expenditure limits. This may be true, but the United States Supreme Court upheld incentives for participation in publicly financed campaigns in *Buckley*.

There is no question but that the trigger provision allowing additional spending and continued "2 to 1" matching of funds restricts free political speech. It is a burden because the speech of a non-participating candidate is chilled in two ways. First, this particular incentive will result in some degree of tempering speech once the candidate's contributions near the $1.8 million mark. Second, speech will be stifled to some degree by the fear that the participating candidate will clearly "outspend" the non-participating candidate once the cap is lifted, given the additional "2 to 1" funding. Moreover, there is no question but that the state has a compelling interest in keeping campaign expenditures at levels that do not encourage actual or apparent corruption of the political process, i.e. to keep one candidate from essentially buying a campaign.

Gable argues that there is a point where incentives become coercive. This Court agrees, and although this theory is addressed by the court in *Vote Choice*, the First Circuit did not provide any concrete standard for determining when a restriction on political speech becomes coercive.

Once a First Amendment analysis of a statute reaches the point where burden and compelling state interest are no longer the questions, the focus becomes the invasiveness of the statute. Thus, whether a statute is unconstitutionally coercive is a matter of degree. Coerce is defined by Webster's New World Dictionary (2nd College Edition) as "to restrain or constrain by force." Without any evidence that the, statute literally forces the non-participating candidate to accept public financing, Gable's arguments must fail.

Very few, if any, legislative financing schemes will achieve perfect equipoise. Kentucky's law imposes restrictions upon non-participating candidates which must be accepted in order to reap the benefits. The financing program is available to any candidate which meets the eligibility requirements. Although the additional "2 for 1" incentive is very attractive, such desirability does not make

it coercive. Gable cannot articulate why the burden felt by a nonparticipating candidate subsequent to the cap lift is any heavier' than that felt before the cap is lifted. The particular restrictions on speech mentioned previously are not the result of undue force.

The Court can fathom a coercive scheme, for example "4 to 1" additional funding, at which time the non-participating candidate would have no legitimate way of staying in the race once the cap was lifted. At this juncture, the statute would be so restrictive as to literally "force" potential candidates to accept public funding, thereby unconstitutionally limiting the dissemination of information by candidates. Under the hypothetical, the candidate would not have a real choice but to participate in the scheme and would thus be coerced into accepting public funding.

Such is not the case with the statute at bar. Here, there is no argument that "2 for 1" funding makes it nearly impossible for the candidate running on private contributions to win the race. There is no argument that the statute effects, much less coerces, the initial decision made: whether the candidate can get his message to the public on $1.8 million or less. Accordingly, as there is no evidence that this statute creates an unconstitutionally coercive situation for a non-participating slate; the defendants are entitled to judgment as a matter of law as to Count VI of the complaint.

III. COUNT IX — KRS 121.150 (13) AND (20)

Gable argues that the limitation of his ability to loan money to his campaign constitutes a content based restriction on his right to free political speech. The defendants argue that contribution, not the act of loaning money, is a protected First Amendment right. They further contend that, in any event, these statutes are narrowly tailored to meet the state's interest in preventing the actual and apparent corruption of the political process.

KRS 121.150(13) and (20) prohibit a slate from loaning more than $50,000.00 to their campaign and establish that

any amount over $50,000.00 provided by a slate or their immediate families is deemed a contribution and is not recoverable. These statutes impinge very slightly upon the right to express political views, are reasonable, and thus are subject to the "ordinary litigation" test. *See, Anderson* v. *Celebrezze*, 460 U.S. 708 (1983).

Historically, Kentucky has had a tremendous problem with gubernatorial candidates making "windfall" loans to the campaign, which typically make the candidate financially vulnerable, and which are "repaid" with monies contributed by those seeking certain "favors" from the successful candidate. This problem is documented and does not merely exist in the minds of the defendants. Gable argues that the restrictions on contributions now obviate this problem, and that this statutory provision has no purpose. Gable's argument is not persuasive, however, as the threat of becoming indebted to those who contribute, solicit contributions, or encourage contributions for a particular gubernatorial candidate is real and immediate without a limitation on loans.

These regulatory statutes are, narrowly tailored to meet a very compelling interest in establishing and preserving integrity in Kentucky's political system. *See, Wilkinson* v. *Jones*, 876 F.Supp. 916 (W.D. Ky. 1995). Accordingly, summary judgment must be granted in favor of the defend ants on Count IX of the complaint.

IV. COUNT XVII — KRS 121.150(1)

Gable argues that KRS 121.150(1) restricts his free political speech and that it is so vague that a reader cannot discern what actually constitutes an "indirect" solicitation of an independent expenditure. The defendants contend that the statute is narrowly tailored to prohibit "agreements" between a candidate or his agents and an individual which are intended to circumvent the contribution and expenditure limitations.

First and foremost, independent expenditures on behalf of a candidate are allowed. The limitation on inde-

pendent expenditures imposed by KRS 121.150 is that the candidate may not request, cooperate in the making of, suggest, or consent to, the expenditure. Thus is the source of the label "independent" expenditure. Moreover, any person expending more than $500.00 in independent expenditures in any one election must report the expenditures to the registry. The statute does not limit the amount that may be spent independently in any one election. Moreover, the amount spent on an "independent expenditure" is not considered a contribution for the purposes of the statute. A person may independently expend money for whomever, however, and whenever during the election process he or she wishes. Clearly, the statute is constitutional on its face as it does not burden protected speech.

A direct solicitation is obvious: "Rent a billboard on I-64 with my name on it." A statement such as, "I certainly would like a billboard on I-64 with my name on it, but I cannot afford it, and I could not ask you to do that", would be an indirect solicitation.

It is true that "indirect solicitation" is not defined in the statute. While actions constituting indirect solicitations may be less obvious, political experience, logic, and reference to the purpose of the statute and the context in which "indirect" solicitation is used will aid the reader in determining what conduct is prohibited. Thus, the statute is not so vague as to restrict free political speech.

V. COUNTS XIX — XXII — KRS 121.0255 AND KRS 121.045

Gable argues that KRS 121.055 *and* KRS 121.045 impose content-based restrictions on political speech in violation of the First Amendment and that the restrictions are so vague as to deny him due process in violation of the Fourteenth Amendment. Gable concedes that it is the application of the statutes which renders them unconstitutional. The defendants contend that it is the interpretation given the statute' by Gable that renders Kit "questionable" and that the statute is not unconstitutional on its face nor

is it unconstitutional as applied by the Commonwealth.

Simply speaking, KRS 121.055 and 121.045 prohibit vote buying. In *Brown* v. *Hartlage*, 102 S.Ct. 1523, 1529 (1982), the Supreme Court held that the predecessor statute to KRS 121.055 was unconstitutional as applied under the circumstances presented, but found that the statute "presents little constitutional difficulty" in many of its possible applications. The Court also acknowledged that the statute is a "narrowly tailored means of promoting" the Commonwealth's compelling interest in preventing corruption. *Id.* at 1530.

The Court in *Brown* gave numerous examples of promises which would be protected by the First Amendment, such as promises to lower or raise taxes. The Commonwealth has been given specific direction by the United States Supreme Court on how to constitutionally apply this statute, reducing the possibility of misapplication in the future. Thus, the Court in *Brown* narrowed the construction of the statute to prohibit promises that amount to *quid quo pro* conduct, and to allow general campaign promises to voters. Accordingly, the Court's holding in Brown precludes a challenge to the facial validity of KRS 121.055. The constitutionality of the statute may only be challenged as to its application.

Gable does not allege that the state attempted to enforce this statute against him. Thus, as there is no challenge to the application of this statute, summary judgment in favor of the defendants on Counts XIX and XX is warranted.

Moreover, in *Lee* v. *Commonwealth*, 565 S.W.2d 634 (Ky. Ct. App. 1982), the Kentucky Appeals Court considered the constitutionality of KRS 121.045 and held it to be unconstitutional to the extent that it prohibits donations to a candidate for office of property valuator by persons whose property he may assess. Again, this is a statute which may be unconstitutional in its application. This Court, however, will not find a statute invalid on its face merely because it is possible to conceive of limited imper-

missible applications. *See, Leonardson* v. *City of East Lansing*, 896 F.2d 190 (6th Cir. 1982).

The Court in *Lee* gave some direction as to the scope of KRS 121.045 and how it may be applied in the future. As such, the statute has been narrowed, and although it is not artfully written, it cannot be said to be unconstitutionally vague or overbroad. *See, Broderick* v. *Oklahoma*, 413 U.S. 601, 613 (1973). Accordingly, Counts XXI and XXII must be dismissed as a matter of law.

V. COUNT XI — KRS 121.990(3), 121A.990(1)(a) AND (3)

KRS 121.990(3) and 121A.990(1)(A) and (3) set penalties for violations of various provisions of the act. To the extent penalties are set for the violation of laws which have been held to be constitutional, no argument as to restriction of free speech lies. However, penalties for the exercise of protected free speech is an additional restriction which cannot be tolerated. Thus, the penalties proscribed by the legislature will stand where such penalties are imposed upon a violation of the statutes which have been held to pass constitutional scrutiny.

Accordingly,

IT IS ORDERED HEREIN,

(1) That the defendants' motions for summary judgment [Record Nos. 71, 73, 75, 79] be, and the same hereby are, GRANTED, as to Counts I, VI, IX, XI, XVII, XIX, XX, XXI and XXII of the complaint;

(2) That the plaintiff's motion for summary judgment [Record No. 68] be, and the same hereby is, GRANTED as to Count II of the complaint;

(3) That the defendants Paul Patton, Ben Chandler and the Kentucky Registry of Election Finance and all persons in active participation or concert with them or who receive actual notice of this order by personal service or otherwise, are ENJOINED from enforcing Kentucky Revised Statute 121A.030(5) to the extent that it prohibits a slate of candi-

dates from contributing to their own campaign; and

(4) That Counts I, VI, IX, XI, XVII, XIX, XX, XXI and XXII of the complaint be, and the same hereby are DISMISSED.

This the 29th day of March, 1996.

/s/ Joseph M. Hood
Joseph M. Hood, Judge

Date of Entry and Service: 9/1/96

By: /s/ Christy Dearborn
District Clerk

APPENDIX C

UNITED STATES DISTRICT COURT

EASTERN DISTRICT OF KENTUCKY
FRANKFORT

Civil Action No. 95-12

ROBERT E. GABLE, and
DARRELL SEBASTIAN, - - - - - *Plaintiffs.*

v.

BRERETON C. JONES, Et Al., - - - *Defendants.*

PARTIAL DECLARATORY JUDGMENT—

Filed January 5, 1996

This matter is before the Court upon the parties' cross motions for summary judgment. After considering the briefs and oral arguments,

IT IS ORDERED AND ADJUDGED that as there is no genuine issue of material fact to be adjudicated as to KRS 121.150(2) or KRS 121A.080(6), the defendants are entitled to a partial declaratory judgment as a matter of law.

JURISDICTION AND VENUE

1. This Court has jurisdiction over this action pursuant to 28 U.S.C. §§ 1331 and 1343. Venue is found under 28 U.S.C. §§1391(b) and 1392. Declaratory relief is appropriate under 42 U.S.C. § 1963, 28 U.S.C. § 2201 and Fed.R.Civ.P. 57.

PARTIES

2. The Plaintiff, Robert E. Gable, is a resident of Franklin County, Kentucky, and was a duly qualified candidate for the Republican Party's nomination for the office of Governor of the Commonwealth of Kentucky in the 1995 primary election.

3. The Defendant-Counterclaimant, Kentucky Registry of Election Finance, is ran independent agency of the state government responsible for enforcing Chapter 121 and Chapter 121A of the Kentucky Revised statutes.

4. The Defendant-Counterclaimant, Joseph H. Terry, is chair of the Kentucky Registry of Electron Finance, and was sued in his official capacity.

5. The Defendant-Counterclaimant, Chris F. Gorman, is Attorney General, and was sued in his official capacity.

6. The Defendant-Counterclaimant, Bob Babbage, is the secretary of state and was sued in his official capacity

7. The Defendant-Counterclaimant, Paul Patton, is the Governor of the Commonwealth of Kentucky. Governor Patton was substituted for former Governor Brereton Jones, who was sued in his official capacity.

DEFINITIONS

8. As used in this Judgment, the term "Participating Slate" means a slate of candidates for Governor and Lt Governor who have filed with the Registry pursuant to KRS 121A.040(3) a statement of intent to accept transfers from the public fund established by KRS 121A.020(1).

9. As used in this Judgement, the term "Nonparticipating Slate" means a slate of candidates for Governor and Lt. Governor who have filed with the Registry pursuant to KRS 121A.040(3) a statement of intent to reject transfers from the public fund established by KRS 121A.020(1).

FACTS

10. Plaintiff moved the court for summary judgment regarding several provisions of Kentucky's campaign finance legislation contained in KRS chapter 121 and 121A. He sought declaratory and injunctive relief as to the challenged statutes.

11. Defendants submitted cross motions for summary judgment. They sought a declaratory judgment declaring the challenge statutes constitutional.

12. The Court heard oral argument on the cross motions for summary judgment on December 21, 1995.

13. KRS 121.150(2) provides as follows:

> Except as provided in KRS 121.180(10), the solicitation from and contributions by candidates, slates of candidates, campaign committees, political issues committees, permanent committees, and party executive committees to any religious, charitable, civic, eleemosynary, or other causes or organizations established primarily for the public good is expressly prohibited; except that it shall not be construed as a violation of this section for a candidate or slate of candidates to continue regular personal contributions to religious, civic, or charitable groups.

14. Plaintiff contends the statute means candidates for public office may only contribute to those charities to which they had regularly contributed prior to officially declaring their candidacies, and may only contribute in the amounts they had contributed prior to declaring their candidacies.

15. The Registry construes the statute to permit natural persons who become candidates for office to make charitable contributions without limitation. The Registry's construction limits the statute to prohibiting charitable contributions by the committees enumerated in the statute, namely, campaign committees registered by candidates, political issues committees, permanent committees and party executive committees.

16. KRS 121A.080(6) provides as follows:

> A slate of candidates shall establish a separate candidate campaign account for each primary, runoff primary, and regular elections in which it participates. The unexpended balance of contributions and fund transfers in a candidate campaign account of a slate of candidates which remains after all financial obligations of the particular ejection for which the account is established have been satisfied shall be forwarded to the registry for deposit in the fund when the account is closed. The payment to the fund shall be made not later than ten (10) working days after the candi-

> date campaign account for a particular election is closed. Funds in the candidate campaign account of a slate of candidates shall be expended only for expenses incurred in the particular election for which the account is established and shall not be used to pay expenses incurred in any other election or for any other purpose.

17. Plaintiff contends that this statute escheat to the slate the unexpended balance in the campaign account of Nonparticipating Slates, and therefore violates the rights to freedom of speech and association secured him by the First and Fourteenth Amendments of the united States constitution and further constitutes a taking without just compensation in violation of the rights secured Plaintiff by the Fifth and Fourteenth Amendments of the United States Constitution.

18. The Registry construes KRS 121A.060(6) to require only the "unexpended balance of contributions and fund transfers in a candidate campaign account" of a Participating Slate be forwarded to the Registry for deposit in the fund when the campaign account is closed (emphasis supplied). The Registry thus construes KRS 121A.080(6) to apply only to unexpended funds in the campaign account of Participating Slates and to have no application to unexpended funds in the campaign account of Nonparticipating States, which are governed by KRS 121.180(10).

DECLARATORY RELIEF

19. The court declares that, "[i]n evaluating a facial challenge to a state law, a federal court must, of course, consider any limiting construction that a state court or enforcement agency has proffered." *Hoffman Estates* v. *Flipside, Hoffman Estates,* 455 U.S. 489, 494 n.5 (1981) (citing *Grayned* v. *City of Rockford,* 408 U.S. 104, 110 (1972).

20. The Court also declares that:

> [A statute] ought not be construed to violate the Constitution if any other possible construction remains available; under this canon of statutory construction, [t]he elementary rule is that every reasonable con-

> struction must be resorted to in order to save a statute from unconstitutionality. . . . [A]s between two possible interpretations of a statute, by one of which it would be unconstitutional and by the other valid, our plain duty is to adopt that which will save the Act.

Rust v. *Sullivan,* 500 U.S. ___, 114 L.Ed.2d 233, 253 (1991) (internal quotation marks and citations omitted).

21. The Court declares that, in order to save KRS 121.150(2), it will adopt the narrowing construction offered by the Registry and interpret KRS 121.150(2) to mean that natural persons who become candidates for office may continue to make charitable contributions. Accordingly, KRS 121.050(2) is limited to prohibiting charitable contributions by the committees enumerated in the statute, including campaign committees registered by candidates.

22. The court declares that, in order to save KRS 121A.080(6), it will adopt the narrowing construction offered by the Registry and interpret KRS 121A.O80(6) to require that only the unexpended balance of contributions and fund transfers in a candidate campaign account of a Participating Slate be forwarded to the Registry for deposit in the fund when the campaign account if closed. (emphasis supplied). Accordingly, the Court declares that KRS 121A.080(6) does not apply to unexpended funds in the campaign account of Nonparticipating Slates, and that those funds are governed by KRS 121.180(1).

23. The Court further declares that there is no genuine issue of material fact as to KRS 121.150(2) and KRS 121A.080(6) and Defendants are entitled, as a matter of law, to a judgment dismissing the Third and Fourteenth causes of action asserted in Plaintiffs' Amended Complaint with prejudice.

This is the 5th day of January, 1996.

/s/ Joseph M. Hood
Joseph M. Hood, Judge

Date of Entry and Service: